

How to use the Italy tool

A plain-language guide
BENEFITS D2.2 Microsimulation model

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BENEFITS Work Package 2 | Deliverable D2.2 | August 2026

Building Economic, Needs-Based and Environmental evaluation Frameworks for Inclusive Transformation of Social services in Europe (BENEFITS)

Horizon Europe grant agreement No. 101179032 |
HORIZON-CL2-2024-TRANSFORMATIONS-01

Work Package 2 | Deliverable D2.2 | European Research Executive Agency (REA)

1 What this tool is, and what it is not

This is the Italy tool from the BENEFITS project. It is a single web page. You open the file in an ordinary web browser; there is nothing to install, you do not need to be online, and there is no login. There are four such tools, one each for the United Kingdom, Spain, Italy, and Greece. They all work the same way and differ only in the country they describe, so once you know one you know all four.

Two things are worth knowing before you start. First, the tool does not run a live tax and benefit model while you use it. All the numbers were worked out in advance, checked, and saved inside the page. When you move a control, the tool looks up the saved results and fills in the points in between. This is why it is fast and why it holds no personal data. It also means the tool can only show what was worked out beforehand: it fills in between the marked points on a slider, and it stops at the ends of each slider rather than guessing past them.

Second, the values on the Provider tab are not measurements of your own clients. They take findings from published research and apply them to the caseload you describe. Every value comes with a low, a middle, and a high figure, and you should always quote the range, not just the middle number, because the middle number on its own claims more certainty than the evidence supports.

2 Opening it and finding your way around

Open the tool's web page in a browser such as Chrome, Edge, Firefox, or Safari. It fills the window. Nothing you do is saved, so you can explore freely and reload the page to start over. Across the top are four tabs:

- **Home** tells you what the tool is, where its data comes from, and the warnings to read before you quote anything.
- **Analyst** lets you compare a reform or a shock: who gains or loses, the effect on government money, and the effect on poverty.
- **Provider** lets you put a value on a service: describe a caseload and read its social value, its value for money, and how a downturn would change demand.

- **Scenarios** is a fixed menu of ready-made reforms and shocks for Italy, each one a saved result you can read straight off.

3 If you read only one thing

These are planning estimates, not budgets. Some figures are known to be overstated, and the tool says which. The capacity and downturn figures should not be used to set staffing: they carry the same assumptions in every tool and none of them is calibrated to your area. Most of the service costs are assumptions, and the tool marks which ones with stars. Where you have your own figures, type them into the Provider tab and the tool will use yours instead of ours.

4 The Analyst tab: comparing reforms and shocks

Move one control at a time. Each slider is one reform or one shock. When you move a slider, the others jump back to their starting point. This is deliberate: two reforms happening together do not simply add up, and the tool will not pretend they do, so it shows you one at a time. The small ticks on each slider mark the points that were actually worked out; between the ticks the tool draws a straight line, so you can always see where the real results sit and where the tool is filling in.

This tool has five sliders. Here is what each one does:

- **Earnings downturn (market income):** an economic downturn, which this tool applies by scaling the money households earn.
- **IRPEF first-bracket rate change:** lowers or raises the tax rate on the first band of income. This slider goes both ways, from a 5-point cut to a 5-point rise.
- **Universal child benefit (AUU, Assegno Unico Universale):** raises the country's child payment.
- **Assegno di Inclusione: higher payment and newly-eligible entry:** raises the Assegno di Inclusione (AdI) and also brings newly eligible households into the scheme.
- **Unemployment shock:** a direct rise in the unemployment rate.

Set the fairness weight. There is one slider, labelled with the Greek letter ε (epsilon), that asks you to make a judgement. It decides how much extra weight to give to gains that reach lower-income households. At the lowest setting, 0, a €1 counts the same wherever it lands, and the headline is a simple total of gains and losses. As you raise it to 1 and then 2, gains to poorer households count for more. Because two reforms can swap places as you raise this slider, the tool draws each result as a line across the range rather than a single number. Where two lines cross, the better reform changes. Quote the crossing point, not one spot on the line.

Read the three results, which are kept separate on purpose.

- **Who gains or loses.** The headline is the overall gain or loss in €, after the fairness weight is applied. A bar chart splits it across ten income groups from poorest to richest, and the bars add up to the headline, so you can see which groups drive it. A simple winners-and-losers count sits beside it.
- **Government money.** Separate lines show the tax and benefit money flowing in and out.
- **Poverty.** Two counts. The main one uses a poverty line fixed at the starting point and held still, so it counts people crossing a standard that does not move. A second one uses a line

that moves with average income. The two can disagree about whether a tax rise raises or lowers poverty, and the tool explains why on screen. Lead with the fixed-line count.

One caution the tool repeats, and you should carry it: reforms are shown without anything to pay for them, so nobody is shown losing from the cost. Treat any figure as a first-round effect, not a fully funded package.

5 The Provider tab: putting a value on a service

Describe the caseload. Pick a service, enter how many people it helps in a year, choose roughly where those people sit across the income range, and, if you want a value-for-money figure, enter the running cost. You can also enter the size of a downturn. The fairness-weight slider works here too. Everything the tool reports back is counted per person helped, so enter numbers of people rather than households or families. The running cost is the exception: enter the total cost of running the service over the year, not a cost per case.

Use your own cost if you have one. Each service arrives with a cost per person already filled in. Those are our figures and not yours, and for most services they are informed estimates rather than measured costs, which is the honest position: we searched for published service costs across Europe and found very few. If you know what a case actually costs you in Italy, type it in and the tool uses yours from that point on. You do not have to: leave the box alone and the tool works exactly as it does now. A figure that rests on a cost you entered is marked with a dagger (†) rather than our stars, it stays marked in anything you export or share, and it is your figure rather than ours, so do not quote it as a result from the model.

Read the ladder from the bottom up.

- The **cash floor** is the cautious lowest figure: the income effect only, weighted for who receives it.
- The **headline value** adds the good the service does, drawn from published findings. It is not the full value of the outcome for everyone you serve. It applies the share of a caseload that published evidence says reaches the outcome, and then the share of that outcome the evidence attributes to the service rather than to everything else in someone's life. Money-type outcomes are weighted for who benefits; wellbeing outcomes are counted at a standard value for a year of improved wellbeing (the tool calls this the WELLBY value).
- **Enter the caseload the evidence measures.** Some of those shares are measured on a narrower group than everyone a service sees. Where that is so, the tool names the group on the service's own note, and entering a wider caseload will overstate the result.
- The **low, middle, and high range** is genuine uncertainty from the evidence. Carry it into any funding case. Two services show the same figure at more than one point rather than a range, because the national cost they rest on carries no published range of its own; where that happens the absence is real and is not a sign of precision.
- The **value-for-money ratio** is the middle headline divided by the running cost you entered: social value for each €1 spent.

The downturn view projects the extra demand a recession would place on your service, scaled to your caseload, and shows the staff and budget needed to meet it. Read it as rough planning, not a forecast for your area, for two reasons the tool states. The pattern of extra demand was measured in the United Kingdom and then scaled to the number of working-age households in Italy, so it was never measured here. And above a downturn of five percentage points the view

draws a straight line up to ten, marking every figure in that stretch as outside the range that was actually modelled.

6 The star marks

Some figures carry star marks, and the key sits on every panel so it stays with a screenshot. No star means a figure rests only on this country's own sources, which after the evidence review is rare: almost every value in this tool carries a mark, because the wellbeing value it rests on is itself carried across from the United Kingdom. One star (*) means it uses something borrowed from another country and adjusted to fit. Two stars (**) mean it uses something borrowed without adjustment, or an assumption. A figure takes the worst mark of the things it is built from. One point is easy to misread: on the downturn view every figure carries two stars, because the staff numbers and unit costs behind it are assumptions. More stars does not mean less reliable; the stars show where a number came from, not how well proven it is. There is also a dagger (†), which is not one of ours: it marks a figure that rests on a unit cost you typed in yourself, and it appears instead of our stars because the reason for those stars no longer applies to your own number.

7 Things to keep in mind for Italy

The Home tab carries the full list; these are the ones that most affect how you read a figure.

- Everything here is counted over all households, and the poverty line is 60% of the middle (median) income adjusted for household size. Every figure in the tool rests on those two definitions, so quote them alongside anything you take from it.
- The minimum income (Assegno di Inclusione) slider does two things at once, raising the payment and bringing newly eligible households into the scheme as it rises, so its effect is larger than a slider that only raised the payment. The tool labels this at the slider.
- The income-tax slider reaches further than it should. Data the model needs to spot people on Italy's flat-rate scheme for the self-employed is not in the public dataset, so the tool treats them as paying the normal rates when in reality they do not. The tool says so at the slider. Italy's income-tax figures are overstated for the same reason.
- The minimum-income (Assegno di Inclusione) figures are about 11 per cent above the underlying model's own figure, and about a third above what Italy actually spends on the scheme, because the value of a main home cannot be worked out from the public dataset and so cannot be counted in the means test.
- Downturn figures from this tool are built differently from those in the other BENEFITS tools and should not be read across them.

8 The Scenarios tab

This tab holds a fixed menu for Italy: the baseline plus twelve ready-made reforms and shocks. Each is a saved result rather than an in-between estimate, so you can read it straight off. Two of them are built as a pair, a minimum-income (Assegno di Inclusione) rise and a cut to the first income-tax band, which reach households through different instruments at roughly the same cost to the government. Their costs are close but not equal, so the tool compares them per €1 of cost and not side by side, and it is that ratio you should quote. Read it across the whole fairness-weight range rather than at one setting, because which of the two comes out ahead can change as the weight rises.

The one thing to remember: the range and the star marks travel with every figure. The cash floor is a floor, the headline is a weighted estimate built partly on borrowed evidence, and the fairness weight is a judgement you set, not a result the tool dictates.

Funded by the European Union. Views and opinions expressed are however those of the author(s) only and do not necessarily reflect those of the European Union or the European Research Executive Agency. Neither the European Union nor the granting authority can be held responsible for them. BENEFITS, Horizon Europe grant agreement No. 101179032, HORIZON-CL2-2024-TRANSFORMATIONS-01, European Research Executive Agency (REA).